All Our Energy
People-powered Renewable Energy, Climate Action, and Local Environmental Advocacy

PO Box 381
Point Lookout, NY 11569
www.allourenergy.com
info@allourenergy.com
(516) 595-WIND

June 2, 2021

Honorable Michelle Phillips, Secretary
New York State Public Service Commission
Three Empire State Plaza
Albany, New York 12223-1350
secretary@dps.ny.gov

cc: Active Parties in Cases 19-G-0309 and 19-G-0310
Hon. James A. Costello
Hon. Maureen F. Leary

Statement of Opposition to
Case 19-G-0309 – Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service
Case 19-G-0310 – Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corporation d/b/a National Grid for Gas Service

I am a Long Island resident and executive Director of All Our Energy, a Long Island nonprofit focused on stopping climate change and promoting environmental protection. I myself, and on behalf of All Our Energy, strongly oppose this Joint Proposal. Here on Long Island, our communities have been fighting against the Companies' CNG infrastructure expansions in Glenwood, Barrett, and Inwood because they pose both immediate and long-term health risks to us. The trucks that they intend to bring through Long Island in order to inject CNG into the transmission system at these sites are highly explosive and so dangerous that they are currently illegal in New York City. This gas that the companies call "natural" is potent fracked methane gas whose emissions warm Earth's atmosphere at a rate many times that of carbon dioxide. Moreover, the supply/demand gap that the Companies claim as justification for this new infrastructure is drastically overestimated and does not take into account the mandates of the CLCPA to radically reduce GHG emissions by 2030. It also ignores the fact that the coming of offshore wind power in 2025, 2026, 2027 and beyond will displace much of the need for these dirty fossil fuels for electricity generation in our region- freeing up supply that has not been accounted for. It is clear that the Companies are overestimating demand forecasts because it is in their financial interest to continue to build out fossil fuel infrastructure. An 8.8% return on equity for $50 million worth of new CNG infrastructure will profit them well. But my Long Island community is certainly not here to be profited off of for the benefit of an international corporate monopoly.

I understand that rate recovery for the aforementioned Long Island CNG injection infrastructure projects will be through the Demand Capacity Surcharge

Mechanism and that it is dependent upon the Companies' meeting certain Energy Efficiency and Demand Response metrics. While this is a concession and a step in the right direction, it is not nearly rigorous enough. My community demands nothing short of an outright denial of rate recovery for unnecessary projects that have been justified with exaggerated and unsubstantiated demand forecasts. We had professed that these projects will inevitably become stranded assets before too long as the Climate Crisis worsens, and emissions reduction mandates become more severe. But how could it possibly be prudent or in the public interest to allow even the possibility of rate recovery for a Company's solely self-serving construction investment profits, which the company itself has already abandoned immediately after their completion? The company's recent public announcement of their abandonment of their own plans to build the CNG filling plant in Greenpoint, which was to supply compressed gas to these new injection plants, strands these assets by the company's own hand. That the parent project has been publicly announced by the company to be CANCELED, while also aggressively seeking to be paid for it in this rate case anyway, and while its child projects will not be used, is in-your-face arrogance of impunity. It is not that we endorse the CNG supply project-far from it. The point is this cancellation immediately, right now, strands these Long Island assets with no supply mechanism for their use before even being used once and that lost investment is immediately socialized to ratepayers who never had a say.

In Appendix 7 Schedule 11.11 of the Joint Proposal, we see these Long Island CNG projects with their annual Capex breakdowns and three teeny tiny asterisks leading to a teeny tiny footnote with massively problematic implications. It reads: "Due to these projects being in-service or nearing completion, KEDLI will be allowed to recover the associated costs without undergoing additional independent assesment (*sic*)." This statement effectively sets an expectation for the Company that they will be able to recover the costs of any of their investments, no matter how imprudent or harmful they are to New Yorkers, as long as the construction of those infrastructure investments is either complete or nearly complete before a new rate case is filed. The same exact story is taking place in the KEDNY territory with MRI Phases 1-4. Staff must acknowledge and listen to the tens of thousands of people who have filed public comments against the project. Staff must acknowledge and listen to the dozens of elected officials, *including the Mayor of New York City* who have publicly opposed the project. Apparently, all that concerns staff is the fact that construction was started in the beginning of this rate filing and now, over two years later, it is complete. What type of precedent does this set? This is not accountability. This is the blatant enabling of incredibly harmful behavior from a multibillion-dollar corporation. This State regulatory agency must be the Department of *Public* Service, not the Department of *Corporate* Service and needs to act to protect the interests of the public.

This building of unnecessary projects, gambling with the public's money, and then abandoning that investment to cover up the potential illegal segmentation that the overarching project this rate case represents, is a miscarriage of environmental law. In this sprawling, unapproved project, where the North Brooklyn Pipeline meets the Greenpoint LNG Plant, meets the Greenpoint CNG plant, to the additional infrastructure built on Long Island through a pipeline on wheels, the CNG filling plant links all that

segmented, built infrastructure. Now the company has withdrawn the CNG supply project to obscure the fact that it is the CENTRAL HUB of the continuous, contiguous, single gigantic gas pipeline project at the heart of this rate case. They have somehow avoided proper and required environmental review-which it would NEVER pass, and to further injure us, seek to have us pay for it anyway. Or were their claims of the CNG filling plant's cancellation just more lies and obfuscation to distract from this issue? If it was canceled, why has it not been removed from the rate case? Again, like the injection plants, this begs the question of who is in charge of allowing this reckless behavior and why are they allowing it?

This case deserves the decisive outcome of receiving no ratepayer recovery which would simply reward the freewheeling use of public funds without accountability, prior review, nor any long-term public return-on-investment. We should not pay for building projects that no one asked for and then whose sole supply line is then chosen to be canceled, so as to avoid proper environmental scrutiny of what really is a far-reaching, single project that is expansion of new infrastructure. In fact, there should be penalties assessed for this obfuscation, which so blatantly acts against the public interest.

I request, first and foremost, that rate recovery for the Glenwood, Barrett and Inwood and all Long Island CNG and related facilities be denied. At the very least, it should be subject to the full independent consultant assessment as well as the EE and Demand Response metrics. On page 44 of the JP it states that the independent consultant responsible for determining whether or not the infrastructure projects subject to the DCSM are needed will "be selected by Staff." In rebuttal, **I request that the selection of the Independent Assessor is not a decision made by Staff alone but that it is, instead, a highly transparent process in which members of the public play an integral role.** The Joint Proposal goes on to say that the consultant shall be nationally recognized "in the area of gas engineering." However, on page 42 it states that two of the consultant's criteria for determining whether or not the projects are necessary shall be "alternative options [and] GHG emissions." **It is imperative that the consultant is more than just an expert in soon-to-be-obsolete "gas engineering" but more importantly is an expert in moving us to the renewable energy required**. I request that the language of the JP be altered to express this. We are both legally and morally mandated to find renewable energy solutions that have a net-zero emissions impact. The consultant must have a forward-thinking perspective that can envision less harmful ways of providing New Yorkers with thermal energy.

Sincerely,

George Povall
Executive Director
All Our Energy